

Costs of Unemployment

TAX: SIMPLE, EQUITABLE, EFFICIENT

EFFECTS OF GROWTH CAUSES OF INFLATION

Loss of tax revenue (both direct and indirect)

Higher govt expenditure incurred from unemployment benefits

The rise in govt spending along with fall in tax revenues may result in higher govt borrowing and can worsen a gov's budget deficit and debt

The government has less money to spend on merit goods and public goods which would result in a loss in societal welfare.

Impact on → effect → consequences always analyse based on growth inflation and unemployment deficit

Economic Costs

Unemployment feeds unemployment

Wastage of economic resources

Reduces potential level of output (if skills become increasingly outdated in the rapidly changing job market)

Loss in economic welfare

Social costs

Social unrest

Family breakdown

Psychological breakdown

The rise in social costs can accentuate other costs

Stagflation

Stagflation is a condition of slow economic growth and relatively high unemployment or economic stagnation, accompanied by rising prices (inflation).\

Causes falling productive capacity caused by prolonged natural disaster shift left

Increase COP

